The holder of the share warrant can take a share certificate only if holder surrenders the share warrant and pays the required fee for the issue of share certificate. Thereafter, the company will cancel the warrant and issue a new share certificate to him as well as the company will enter his name as the member of the company in the register of members, after which he will become a member of the company.

Generally, the holder of the share warrant is not the member of the company, but if the articles of association of the company provide it, then the bearer is deemed to be the member of the company.

26.08 Share and Stock

The definition of the term 'Share' under the Companies Act, 1956 (Section 2(46)) includes 'Stock'. A company can convert its shares into stock and vice versa by following the provisions of Table A (Articles 36-39). Stock is created from fully paid shares by passing an ordinary resolution in the general meeting. The Articles of Association of the company must permit this conversion.

26.09 Debentures

Adequate amount of capital is necessary to run a business effectively/successfully. In some cases capital arranged through internal resources i.e. by way of issuing equity share capital or using accumulated profit is not adequate and the organisation is resorted to external resources of arranging capital i.e. External Commercial borrowing (ECB), Debentures, Bank Loan, Public Fixed Deposits etc.

When a company needs funds for extension and development purpose without increasing its share capital, it can borrow from the general public by issuing certificates for a fixed period of time and at a fixed rate of interest. Such a loan certificate is called a debenture.

Debentures are offered to the public for subscription in the same way as for issue of equity shares. Debenture is issued under the common seal of the company acknowledging the receipt of money.

According to Section 2(30) of Companies Act 2013 "debenture" includes debenture stock, bonds or any other instrument of a company evidencing a debt, whether constituting a charge on the assets of the company or not; It is evident from the definition that the term debentures covers both secured and unsecured debentures.

Features of Debentures

The important features of debentures are as follows:

1. It is issued by the Company in the form of a certificate under the common seal.
2. Debenture holders are the creditors of the company
3. Debentures carry a fixed rate of interest.
4. Debenture is redeemed after a fixed period of time.
5. Debentures may be either secured or unsecured.
6. Interest payable on a debenture is a charge against profit and hence it is a tax deductible expenditure.
7. Debenture holders do not enjoy any voting right.
8. Interest on debenture is payable even if there is a loss.

Kinds of Debentures

Debentures are generally classified into different categories on the basis of:

(1) Convertibility of the Instrument

(2) Security of the Instrument

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